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Growing with Digital Marketing: Evidence, Metrics, and Mistakes

In 1994, AT&T purchased the first recorded banner ad on HotWired.com. Just a few decades later, digital channels have become the dominant vehicle through which firms engage with customers, accounting for roughly three-quarters of total advertising spend in the United States.¹ A major reason why firms ranging from sole proprietorships to the Fortune 500 advertise online today is to drive growth. Indeed, many view digital channels as especially well-suited to this goal, offering advantages over traditional media in targeting, measurement, and optimization.

Yet even as digital marketing has taken off, it has also become more complex. New formats, algorithms, and platforms continue to emerge, promising ever more precise targeting, richer measurement, and faster optimization. At the same time, the ease of launching, scaling, and tracking digital campaigns can obscure fundamental marketing trade-offs. What ultimately distinguishes effective digital marketing is not the sophistication of the tools employed, but the ability to apply enduring marketing principles—about value creation, customer behavior, and measurement—within a digital context. Missteps in these areas are common, and because digital interventions are often scaled quickly, their consequences can be significant.

This case presents four short vignettes from hypothetical firms that illustrate not only the distinct complications this channel can introduce, but also the ways in which core marketing principles can guide sound decision-making. These examples are not exhaustive; rather, they are designed to target the most common and consequential mistakes we see digital advertisers making today. Specifically, we focus on who to target (Windharbor Inn), what metrics to optimize (InsightAI), how to measure success (MasRetail), and how to allocate spend across advertising opportunities (EduPlus).

As you read the vignettes, compare the interventions. For each situation, consider:

- Would you scale it, reduce it, or stop it altogether?
- How confident are you that the intervention is generating incremental value rather than merely appearing successful in attribution reports?
- What additional evidence or testing would you require to reach a clear decision?

Professor Eva Ascarza, Alex Schultz (Meta) and Professor Nils Wernerfelt (Kellogg School of Management at Northwestern University) prepared this case. This case is not based on a single individual or company but is a composite based on the author's general knowledge and experience. Funding for the development of this case was provided by Harvard Business School. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

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Windharbor Inn: Marketing to the world?

Windharbor Inn was a small, charming hotel located on Shelter Island, New York, a quiet resort community situated between the North and South Forks of Long Island. The Inn offered guests quaint, spacious accommodations and convenient access to beaches, nature preserves, and the island's laid-back summer atmosphere. After the pandemic, however, business had slowed, and the owners needed to grow their customer base to stay afloat. As such, the owners decided to advertise online and focus their efforts on online travel agencies (e.g., Expedia or Booking.com).

Given their desire to increase bookings, the Inn's head of marketing launched a campaign that directed users to "Book Now" and reserve rooms through the travel agency. Such lower-funnel outcomes are hard to advertise for over traditional channels, and the team viewed these online travel agencies as a promising opportunity to reach prospective guests who could book right away.

When the marketing team reviewed early performance, results were disappointing. Despite steady ad delivery, the initial weeks of the campaign yielded very few bookings, while ad spend was adding up substantially. The owners were skeptical that online advertising could work for a small, destination-focused hotel and were now pressing to stop advertising altogether. Should the Inn stop advertising, or should it reconsider its audience, message, or campaign objective? How would you approach this problem?

InsightAI: AI for HR

InsightAI was a venture-backed startup that focused on selling AI tools to automate recruiting workflows. Its platform used large language models to automate resume reviews, summarize interview feedback, and propose alternative roles for candidates. The company was confident in its core product but was running low on funds and needed to grow its customer base to bring in more revenue.

With this backdrop, the marketing team was tasked with driving new growth. Focus groups and survey evidence suggested that the two messages that resonated most with InsightAI's potential customers were around the AI technology itself and the product's ease-of-use. To preserve message coherence, the team ran pilots for each theme and could launch only one at scale. As such, the team ran two small-scale pilots, testing a digital advertising campaign for each message on a large social-media advertising platform commonly used for business-to-business targeting. While measuring advertising effects is challenging with many traditional channels (e.g., TV), with digital it is possible – and happens often – to obtain relatively clean estimates of effects on multiple outcomes of interest. Thus, the marketing team was able to observe effects on the outcomes shown in **Figure 1**.

Figure 1 InsightAI—Evaluating different campaign themes.

Metric	AI Technology	Ease-of-use	Δ
Ad spend	\$2,031	\$1,972	~Similar
Impressions	98,450	96,980	~Similar
Click-through rate	2.40%	4.80%	+2.4 pp
Accounts	500	700	40%
30d Active Accounts	220	210	-5%

Source: Casewriters.

The marketing team discovered that per dollar, the ease-of-use-themed campaign generated more clicks and substantially more new accounts. However, a closer analysis revealed a potentially troubling pattern: many of the accounts that campaign brought in were no longer active 30 days later. InsightAI had traditionally focused on reporting the number of accounts it had and optimizing its website design, app flow, and other product decisions around that metric. For this reason, upper management decided to launch the ease-of-use framing. Was this the right decision? What more would you want to know?

MasRetail: Returns to Branded Search

MasRetail was a large U.S. omnichannel retailer with more than 1,000 stores and a sizable e-commerce business. Recently revenue growth had slowed, however, and the company wanted to try a new marketing strategy to boost sales. The marketing team decided to pursue a new channel for them — paid search — and started to invest heavily in brand-term keywords such as “MasRetail near me,” “MasRetail returns,” and seasonal sale terms. To monitor progress, MasRetail would receive data from the number of users who clicked on the ad and then made a purchase (technically, ‘last-click’ conversions). The team knew many of their customers were active online and hoped that this new digital channel, combined with the heavy investment, would bring substantial returns.

The results were immediate: platform-generated marketing reports stated clicks on the ads directly led to a substantial increase in revenue. The average return on ad spend (ROAS) from these campaigns was near 7:1, many-fold above what had been seen over other channels. With this kind of return, MasRetail would be poised to grow massively in the coming half, more than making up for the recent declines in revenue.

Given these numbers, upper management was keen to act fast. They pressured the VP of Marketing to scale the campaign massively, expecting substantial returns. The VP was concerned, however, that the numbers seemed too good to be true. They decided to take the short run hit and delay launch until they could confirm the numbers.

To do this, the VP decided to run the ads in some markets but not in others and then compare how returns varied across these markets. (Technically, a ‘matched market’ test.) When analyzing the results of this experiment versus the earlier run (**Figure 2**), the VP was shocked at the difference. What could explain the difference in results between the two campaigns? What would you do in light of receiving these numbers?

Figure 2 MasRetail – Matched market test results.

Metric	Test Markets (exposed)	Control Markets (not exposed)	Δ Exposed Vs. Control
Ad spend	\$10,000	0	
Paid brand click throughs (thousands)	12	0	
Organic brand click throughs (thousands)	28	29.1	3.9%
Direct visits (thousands)	16	16.7	4.2%
Total site visits (thousands)	56	45.8	-18.2%
Total E-commerce revenue	\$85,330	\$72,190	-15.4%

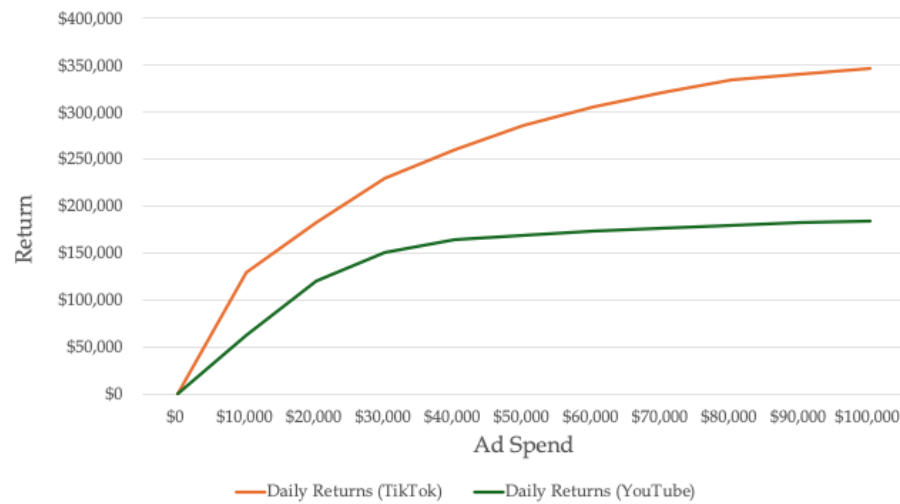
Source: Casewriters.

EduPlus: Micro-Influencers on TikTok or YouTube?

EduPlus was a fast-growing education technology startup that offered an AI-powered tutoring app for middle and high school students. The product followed a freemium model: basic features were free, while advanced tools—such as personalized lesson plans, live AI-assisted chat, and exam-prep modules—were unlocked through paid access. In addition to longer-term subscriptions, EduPlus had recently introduced one-day premium passes, priced at \$7.99, that granted full access to the app for 24 hours. These passes were designed to appeal to students seeking immediate help before exams, quizzes, or homework deadline.

To diversify acquisition channels and stimulate word-of-mouth, the company launched a micro-influencer program across TikTok and YouTube, with creators promoting the one-day passes to their audiences. After the program had been running for a year, budgets were refreshed and the marketing team had to decide how to allocate their funds across the two platforms. From analyzing data from the past year, the team put together a table of how estimated daily spend and daily revenue from one-day pass purchases varied for each platform (**Figure 3**).

Upon finishing compiling the data, the team was surprised to see that at each level of daily ad spend, TikTok generated higher returns than YouTube. The advertising budget for the influencer campaign for the upcoming year was \$80,000, and based on these numbers, the team decided to invest exclusively in TikTok. Is this what you would have done? How would you have allocated between the two platforms?

Figure 3 EduPlus – Micro-influencer returns on TikTok and YouTube (graphical and numerical)

Daily Ad Spend	Daily Returns (TikTok)	Daily Returns (YouTube)
\$0	\$0	\$0
\$10,000	\$129,653	\$63,246
\$20,000	\$183,358	\$120,037
\$30,000	\$230,418	\$150,214
\$40,000	\$260,392	\$165,108
\$50,000	\$285,267	\$169,006
\$60,000	\$305,183	\$173,327
\$70,000	\$321,094	\$177,005
\$80,000	\$334,087	\$179,994
\$90,000	\$340,031	\$182,584
\$100,000	\$346,012	\$184,974

Source: Casewriters.

Endnotes

¹ Digital makes up over three-quarters of total ad spend in the US” Emarketer.com, published by Arielle Feger on Aug 27, 2024, last accessed March 23, 2026